

Document Title:	Procurement Savings Declaration
Document Number:	SCD-PSP-PRT-GL-003
Revision Number:	08
Prepared by:	Mary Ann Arao – Manager, Supplier Relations Management & Quality Management System
Reviewed by:	Jeric Conway Miranda – Senior Manager, OS&E, Procurement & Strategic Planning
Approved by :	Ricardo Aguas Jr. – Vice President, Supply Chain, Procurement and Strategic Sourcing
Effectivity Date:	01 March 2023

1. REFERENCE SOP: Source to Procure, SCD-PSP-PRT-OP-001

2. DEFINITION OF TERMS:

- 2.1 **Addressable Spend – a type and/or portion of spend that is within the domain of control of the Procurement function and impacted through sourcing activity and negotiation.**
- 2.2 **Bid Tabulation Template** – a document prepared by Procurement showing comparison of the bidder/s' quotes, price validity, delivery timeline, payment terms, warranty and other notes that are beneficial for awarding the business.
- 2.3 **Business Unit (BU)** – refers to the party within the company who has a need for the goods and/or services being requested to be purchased.
- 2.4 **Captured Savings** – is the value or percentage resulting from an executed Purchase Order (PO) / issued Contract Voucher (CV) / signed Contract.
- 2.5 **Last System Price** – is the historical Redrock price from the last recorded bid price or purchase.
- 2.6 **Final Lowest Compliant Bid** – is the final and negotiated price from the awarded bidder (technically compliant / approved).
- 2.7 **Initial Lowest Compliant Bid** – is the lowest price from the initial bid results (technically compliant / approved).
- 2.8 **Non-Addressable Spend – a type and/or portion of spend where further savings negotiations are not possible and not impacted through sourcing activity (i.e., pre-negotiated purchase/contract, employee base salaries, taxes, charitable donations and other statutory payments, etc.).**
- 2.9 **New Purchase** - refers to procurement of goods and/or services considered to have no current record of PO/Contract awarded.
- 2.10 **Other Savings** – refers to the savings that can be considered as value-added service that are available at no cost or at little cost resulting from sourcing activity and/or negotiations.

2.11 **Procurement Savings** – refers to the captured savings resulting from sourcing activity and/or negotiations declared upon PO / CV issuance or Contract signing.

2.12 **Published Price** – refers to price of goods based from major source such as brand / principals' standard rates, governmental references or key distributor's Suggested Retail Price (SRP) as benchmark.

2.13 **Repeat Order** – refers to procurement of additional quantity of goods with current record of PO/Contract awarded.

2.14 **Warranty** – a written guarantee issued by the Supplier, promising to repair or replace the purchased goods or works done by the vendor if necessary within a specified period of time.

3. RESPONSIBILITY

3.1 Procurement

3.1.1 Responsible in declaring all Procurement Savings in the Bid Tabulation Template with valid quotations / proposals.

3.1.2 Responsible in properly identifying whether the basis of Bid Tabulation Amount (especially for Contract Drafting) is from an Addressable or Non-Addressable Spend.

3.1.3 Responsible in reporting captured Procurement Savings upon PO issuance / CV issuance / Contract signing form.

3.1.4 Managers/Senior Managers must review and report, on a monthly basis, the consolidated Procurement Savings of their respective section.

4. GUIDELINES

4.1 The Procurement Savings shall be guided by the following Savings Scenario and its applicable Calculation Formula:

Item	Savings Scenario	Calculation Formula											
A	New Purchase	(Initial Lowest Compliant Bid* – Final Lowest Compliant Bid) x Volume) <i>*Technically compliant/approved</i>											
		Sample Scenario:											
		<table><tr><th>Initial Lowest Compliant Bid</th><th>Final Lowest Compliant Bid</th><th colspan="2">Procurement Savings</th></tr><tr><td>Php 100,000</td><td>Php 95,000</td><td colspan="2">Php 5,000</td></tr></table>				Initial Lowest Compliant Bid	Final Lowest Compliant Bid	Procurement Savings		Php 100,000	Php 95,000	Php 5,000	
Initial Lowest Compliant Bid	Final Lowest Compliant Bid	Procurement Savings											
Php 100,000	Php 95,000	Php 5,000											
B	Repeat Orders	(Last System Price – Final Lowest Compliant Bid) x Volume											
		Sample Scenario:											
		<table><tr><th>Last System Price</th><th>Initial Lowest Compliant Bid</th><th>Final Lowest Compliant Bid</th><th colspan="2">Procurement Savings</th></tr><tr><td>Php 100,000</td><td>Php 120,000</td><td>Php 80,000</td><td colspan="2">Php 20,000</td></tr></table>				Last System Price	Initial Lowest Compliant Bid	Final Lowest Compliant Bid	Procurement Savings		Php 100,000	Php 120,000	Php 80,000
Last System Price	Initial Lowest Compliant Bid	Final Lowest Compliant Bid	Procurement Savings										
Php 100,000	Php 120,000	Php 80,000	Php 20,000										
		Note. New Purchase Calculation Formula shall apply: - if Final Lowest Compliant Bid is equal or higher than Last System Price - if the Current System Price exists or last purchase is beyond 1 year - if the commodity is volatile or prone to price fluctuation (e.g., floral, fresh produce, fuel, etc.)											

C	<u>Published Price / Suggested Retail Price (SRP)</u>	<u>(Published price / SRP – Lowest final price) x Volume</u> <u>Note. SCD Approver shall qualify if the reference is legitimate and source should be attached in the bid tab.</u>
D	Re-engineered Specification (Value Analysis)	(Baseline Cost* – Final Lowest Compliant bid with new specifications) x Volume * Old specification price or Initial Lowest Compliant Bid
E	Free of Charge	Total Cost of goods and/or services offered at zero value
F	Volume Rebate / Incentive Collection	Volume x rebate or incentive per unit purchased

4.2 Other Savings:

Item	Savings Scenario	Description
A	Business Support	Total Cost negotiated and agreed by both Contracting parties such as, but not limited to: a. Marketing Support Fund b. Cash Support c. Product Support d. Reciprocal Business - Trainings - Purchase Dining - Events - Media Mileage - Activity Vouchers from Outlets - Accommodations - Free use of equipment (e.g., coffee machine, water dispenser, keg, etc.)
B	Warranty (including Extended Warranty)	Total Forecasted Cost that can be avoided within the warranty period, such as but not limited to: a. preventive maintenance cost b. labor and materials cost that are expected to arise on normal use (e.g. light bulbs to be replaced when burning hours is certain to be exhausted within warranty period) c. administrative cost for processing request to repair / purchase (can be Procurement cost per transaction)
C	Cashflow Savings	Primarily focused on working to better manage the cash flow, such as using the following techniques: a. Structuring payments to meet cash flow requirements (e.g., quarterly payment vs. single annual payment for maintenance contracts, payments based on different milestones) b. Extending payment terms (e.g., from Net30 to Net90)

4.3 For Contracted purchase of goods and/or services beyond one (1) year, the savings declaration will follow the annualized savings to be declared on the date of signing of the contract (last signatory), as stipulated on below example:

Sample Scenario: 3-years Contract of a Gaming Messenger Solution

- Annualized savings is the total savings of the 3-year Contract based on the final price divided by the total number of years contracted (e.g. Php 395,590.00 / 3 years).

	Year 1	Year 2	Year 3	Total	Annual Growth Rate
Initial Lowest Compliant Bid	Php 2,700,000.00	Php 2,835,000.00	Php 2,976,750.00	Php 8,511,750.00	5.0%
Final Lowest Compliant Bid	Php 2,600,000.00	Php 2,704,000.00	Php 2,812,160.00	Php 8,116,160.00	4.0%
Savings	Php 100,000.00	Php 131,000.00	Php 164,590.00	Php 395,590.00	
Annualized Savings: (Total Savings / No. of Years)				Php 131,863.33	
Annualized Savings Percentage: (Annualized Savings / Average Initial Lowest Compliant Bid)				4.6%	

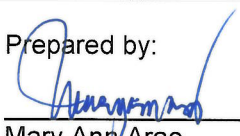
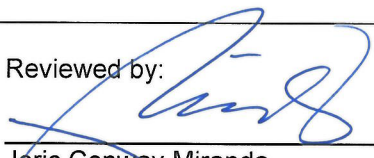
- For succeeding years, any value-adding scope, negotiated savings, service or product on top of the contract will be declared too as savings on the year it is executed.

4.4 This Procurement Savings declaration process applies to captured savings from PO, CV or Contract, in general. Therefore, projected (planned) or identified (based on Bid tabulation template) savings should be monitored until captured.

5. REVISION HISTORY:

Rev. No.	Effective Date	Reason of Revision	Prepared by	Reviewed by	Approved by
00	18-Dec-2019	Initial	R. Nacor	R. Basada & J. Miranda & S. Palaganas	R. Aguas Jr.
01	03-Aug-2020	Change of signatories	R. O. Basada	R. Aguas Jr.	
02	28-Aug-2020	- Inclusion of Forecasted Savings and Warranty under Definition of Terms - Deletion of Budget reference and other reference under 4.1 - Change the following under Table Declaration Guidelines; a. From New Products Buy to New Purchase of Products / Services b. From Reorders to Repeat Orders and change the term from New Products Buy to Purchase under Calculation Formula c. Addition of Total Cost and Services under Calculation Formula of Free of Charge and Business Support - Inclusion of Extended Warranty under warranty and modify scope of warranty under Calculation formula.	R. O. Basada	R. Aguas Jr.	R. Aguas Jr.
03	03-Feb-2021	Revision of QMS Approval Matrix	S. Palaganas	R. Basada	R. Aguas Jr.
04	15-Mar-2021	Deletion of Cost avoidance in Definition of Terms	S. Palaganas	R. Basada	R. Aguas Jr.
05	28-Apr-2021	Change in Document Number from SCD-PSS-SYS-GL to SCD-PSP-PRT-GL	S. Palaganas	R. Basada	R. Aguas Jr.
06	06-Apr-2022	- Modification of definition of Lowest Initial Price - Inclusion of Definition of Terms of cost	S. Palaganas	R. Basada	R. Aguas Jr.

		avoidance under 2.13 • Inclusion of savings scenario on Repeat Order for F&B and modification of guidelines under 4.2			
07	01-Feb-2023	• Revised the Document title, from 'Forecasted Savings Application and Declaration' to 'Procurement Savings Declaration' • Re-arranged Definition of Terms in alphabetical order, and included 'New Purchase', 'Other Savings' and 'Repeat Order' • Updated Section 4.1- Procurement Savings, A&B by including sample scenarios in PHP. • Inclusion of Section 4.2 for 'Other Savings'	M. Arao	J. Miranda	R. Aguas Jr.
08	01-Mar-2023	• Inclusion of Addressable and Non-addressable Spend in the Definition of Terms. • Updated responsibility of Procurement through Section 3.1.2 • Inclusion of Published Price/ SRP among the list of Savings Scenario for capturing Procurement Savings.	M. Arao	J. Miranda	R. Aguas Jr.

Prepared by:  Mary Ann Arao Manager, Supplier Relationship Management & Quality Management System	Reviewed by:  Jeric Conway Miranda Senior Manager, OS&E, Procurement & Strategic Planning	Approved by:  Ricardo B. Aguas Jr. VP, Supply Chain Procurement and Strategic Sourcing Date: _____
---	---	---